

Another way to reduce taxes is to be sure you take all the credits and other tax reductions you're entitled to, such as the child credit (in addition to claiming the child as a dependent), education credits, head of household status, or earned-income tax credit if you qualify.

Taking Advantage of Tax-Saving Strategies

Bunching and accelerating deductions are two time-honored approaches to cutting taxes. Both require an awareness of what your tax situation is before the end of the year. If you're close to being able to itemize, bunching your deductions may put you over the threshold. Bunching is a strategy that involves timing your payments of deductible expenses by pushing as many deductions as possible into one year. When you bunch, you fatten up your deductions for one year and slim them down the next year, or vice versa. If you're close to having enough medical expenses to meet the 7.5 percent of income requirement, and there's a medical procedure you're planning, having it before the end of the year could put you over the limit and reduce your taxes. Please note that the medical expense phaseout is raised from 7.5 percent to 10 percent of AGI beginning in 2013 as one of the subsidies for the new Affordable Care Act.



Most people have too much tax withheld from their paychecks and get a refund at the end of the year. In 2011, the average federal tax refund was \$2,913. That's roughly \$250 per month that could have paid down debt or been deposited into a retirement account.

Accelerating deductions is similar to bunching, but you increase your deductions in the current year by paying tax-deductible bills that aren't actually due until the following year. For example, pay your property taxes before the end of the year instead of waiting until they're due in the